

How to Use Your Depreciation Tracker

SKU TAX-013 • DEPRECIATION TRACKER

What this workbook does

The year-over-year asset register for every depreciable asset across your STR portfolio. Per-asset MACRS class (5/7/15/27.5/39-year), in-service date, cost basis, §179 elections, bonus depreciation overlay, and a year-by-year depreciation schedule. Plus disposition recapture math when you sell or retire an asset.

This is the workbook your CPA wishes you'd given them. Without it, they reconstruct depreciation from last year's Form 4562 every March and bill you for the time. With it, they verify, sign off, file.

If you only have one property in year 1, use TAX-002 (Single-Property P&L Tracker) — depreciation tab is built in. Come back to TAX-013 once you have multiple properties or year-by-year asset complexity.

First-time setup (45-90 min — be patient)

1. Open tab **Settings** — set the active tax year.
2. Tab **Master Asset Register** — every depreciable asset. For each:
 - Asset name (e.g., "Smokies Ridge Cabin — building")
 - Property tag (which property does the asset belong to?)
 - In-service date
 - Cost basis
 - Salvage value (typically \$0 for residential rental assets)
 - MACRS class (5/7/15/27.5/39 — see below)
 - §179 election? Y/N (only valid for active-business; see TAX-009)
 - Bonus depreciation % applied (current-year rate; verify before filing — phases annually)
3. Tab **Listed Property** — vehicles $\geq 6,000$ lb GVWR get extra rows. Annual business-use percentage required.

MACRS class quick reference (residential rental)

- **5-year:** appliances, carpet, decorative fixtures, FF&E (furniture, fixtures, equipment) used in residential rental

- **7-year:** office furniture (in active business)
- **15-year:** land improvements (driveways, fences, landscaping, exterior lighting, decks, swimming pools)
- **27.5-year:** residential rental building (the default)
- **39-year:** commercial property (rare — only if classified as commercial)

The convention column (half-year / mid-quarter / mid-month) auto-applies based on in-service date and aggregate-asset rules.

Every year

1. Add new assets acquired this year to the Master Register.
2. Log dispositions on the Disposition tab (asset sold, scrapped, retired, or removed from service).
3. Open the Current-Year Summary — total depreciation expense for the year, by MACRS class, by property, by Schedule E vs C destination.
4. Open the Form 4562 Output tab — print or copy line-by-line into your CPA's filing.

Disposition recapture — the surprise on closing day

When you sell a rental, depreciation recapture is the surprise that ruins the celebration:

- **§1245 (5/7/15-year property):** recaptured as ordinary income (up to 37%)
- **§1250 (residential rental real property, 27.5-year):** "unrecaptured §1250 gain" taxed at 25%

The Disposition tab walks the math BEFORE you sign. Run a sale through the workbook and see the actual after-tax proceeds before you commit to a closing price.

Questions?

hello@thestrledger.com — real humans, fast replies.

Bundle: The Portfolio Bundle (\$397) pairs this with the Multi-Property Master P&L (TAX-011), Cost Segregation DIY (TAX-010), Section 179 Planner (TAX-009), and Schedule C Tax Prep (TAX-012). For multi-property hosts, the bundle saves substantially over individual purchases.